



Time: 5 minutes

Outcome: Determine money-market equilibrium and interest-rate adjustment.

Difficulty: ●●○ Intermediate

Liquidity Preference and the Money Market



THE CORE IDEA

Money-market equilibrium occurs where the quantity of money supplied equals the quantity demanded at a particular interest rate. With fixed money supply, higher money demand pushes the interest rate up. Liquidity preference theory explains the interest rate as the price that balances money supply and money demand.



HOW TO RECOGNIZE IT

- At a fixed money supply, greater money demand raises the equilibrium interest rate.
- Higher income or prices can increase money demand for transactions.
- A lower interest rate raises the quantity of money demanded along the existing curve.

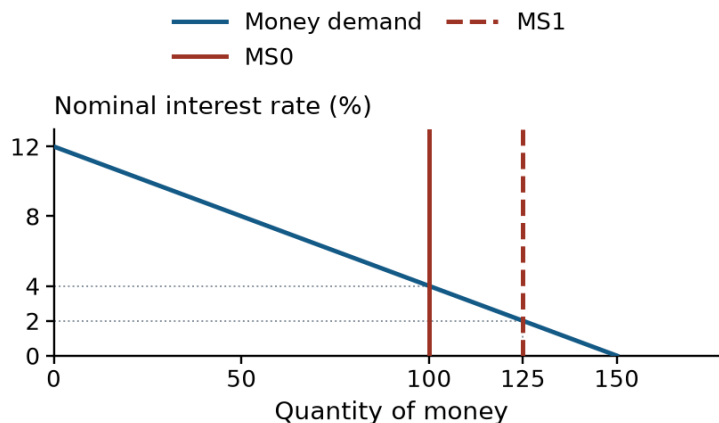


WATCH OUT

Do not treat a labeled point on a money-supply line as an equilibrium even when it is not on the active money-demand curve. At an interest rate above equilibrium, money supplied exceeds money demanded and asset-market adjustment pushes the rate down; below equilibrium, excess money demand pushes it up.



WORKED EXAMPLE: FINDING THE MONEY-MARKET RATE



Money supply increases from 100 to 125 while the money-demand curve is unchanged. The added 25 units move equilibrium down the demand curve, lowering the nominal interest rate from 4% to 2%. The graph therefore illustrates how an expansionary money-supply change reduces the short-term interest rate.



CHECK YOURSELF

At the current interest rate, households want to hold more money than the fixed money supply provides. Which adjustment moves the market toward equilibrium?

**READY?**

Return to the game and master this concept.